BUSINESS STRATEGY & TECHNOLOGY

Suggested Answers
November-December 2025

Answer to the Question# 1

a) External Environment Analysis

a)(i) PESTEL Analysis for TechNova Solutions Ltd

Political

- The **Government of Bangladesh's push for SME digitisation**, reinforced by Bangladesh Bank, supports TechNova's strategic focus on strengthening SME relationships.
- However, increased government oversight of the tech sector raises compliance obligations and costs.

Economic

- **High inflation (≈18%)** and **currency depreciation** reduce SMEs' purchasing power, causing delayed payments and fewer new contracts.
- Economic pressure threatens short-term revenues but also encourages cost-efficient digital solutions—an opportunity for TechNova's scalable software.
- Expansion into **Nepal and Sri Lanka** may reduce exposure to domestic economic volatility.

Social

- Growth of **young, tech-savvy entrepreneurs** creates demand for modern digital solutions.
- Resistance to digital adoption among **traditional SMEs** slows market penetration and increases customer acquisition costs.
- Rising employee turnover reflects internal social challenges affecting strategy execution.

Technological

- Rapid advances in **AI and machine learning** are reshaping the sector.
- Competitors already offer AI-enabled products, creating a **technology gap** for TechNova.
- Dependence on cloud computing increases vulnerability to power disruptions and supplier leverage.

Environmental

- Bangladesh's exposure to **climate risks** (floods, cyclones, heatwaves) threatens operational continuity.
- Pressure from lenders and development partners for **energy-efficient and climate-sensitive software** aligns with national sustainability goals but requires investment.

Legal

- New **data privacy and cyber-security regulations** increase compliance costs but raise entry barriers for less-established competitors.
- The recent **intellectual property infringement lawsuit** in the industry highlights the need for stronger legal protections and compliance mechanisms.

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a)(ii) Two Key External Factors Impacting Strategy

1. Technological Change (AI and ML advancement)

- AI integration is central to TechNova's strategic renewal.
- Falling behind competitors risks loss of market share and reputational damage.
- Success depends on speed of adoption and employee capability development.

2. Economic Pressure on SMEs

- Inflation and currency depreciation directly affect TechNova's core customer base.
- Payment delays and reduced demand threaten cash flow and investment capacity.
- However, this pressure also increases demand for **affordable, efficiency-enhancing digital tools**, aligning with TechNova's value proposition.

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b) Competitive Environment: Porter's Five Forces

b)(i) Forces Shaping Competition

1. Threat of New Entrants – High

- Low entry barriers and minimal capital requirements encourage new startups.
- New firms offer cheaper alternatives, intensifying price competition.

2. Bargaining Power of Buyers (SMEs) – High

- SMEs can easily switch vendors due to multiple local and international providers.
- Economic hardship strengthens buyer price sensitivity.

3. Bargaining Power of Suppliers – High

- Dependence on cloud providers and specialised development tools gives suppliers strong leverage.

- Currency depreciation increases supplier costs.

4. Threat of Substitutes – High

- Open-source software and DIY platforms reduce reliance on customised solutions.
- SMEs may adopt cheaper, self-managed alternatives.

5. Competitive Rivalry – Very High

- Intense competition from local startups and international firms.
- AI-powered offerings intensify differentiation and innovation pressure.

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b)(ii) Mitigation Strategies for Each Force

Threat of New Entrants

- Build differentiation through **AI-enabled, industry-specific solutions**.
- Strengthen brand trust via compliance with data protection and cybersecurity standards.

Bargaining Power of Buyers

- Develop **long-term contracts**, bundled services, and loyalty programmes.
- Align offerings with Bangladesh Bank's SME digitisation initiatives to increase switching costs.

Bargaining Power of Suppliers

- Diversify cloud providers and negotiate long-term pricing agreements.
- Increase use of **open-source technologies** to reduce dependency.

Threat of Substitutes

- Offer value-added services such as **customisation, integration, training, and support**.
- Position TechNova as a strategic partner rather than a software vendor.

Competitive Rivalry

- Invest aggressively in AI innovation and sustainability-focused software.
- Expand into **regional South Asian markets** to reduce dependence on the domestic market.

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c) Transformational Leadership to Overcome Internal Challenges

Using **transformational leadership**, Mr. Fahim Chowdhury can address resistance and execution problems as follows:

1. Inspirational Motivation

- Clearly communicate a compelling vision linking AI investment, SME empowerment, and regional expansion.
- Show how each strategy contributes to national development and long-term organisational success.

2. Idealised Influence

- Lead by example by actively championing digital innovation and compliance initiatives.
- Demonstrate commitment through visible investment in people, technology, and sustainability.

3. Intellectual Stimulation

- Encourage middle managers to challenge existing processes and contribute ideas.
- Create cross-functional innovation teams focused on AI, green computing, and regional expansion.

4. Individualised Consideration

- Address concerns about resource constraints through targeted training and development programmes.
- Support managers with coaching, clear performance metrics, and career progression pathways.

5. Strengthened Communication and Engagement

- Improve transparency around strategic decisions and timelines.
- Involve middle management early in implementation planning to build ownership and reduce resistance.

Answer to the Question# 2

a)(i) Gross profit percentage will be a weighted average of the margins of the two sectors"

Current year (50%X 8%) + (50%X15%)= 11.5%

2023 (50%X 8%) + (45%X14%)= 11.8%

2022(45%X11%) + (55%X13%)= 12.1%

2021(40%X12%) + (60%X13%)= 12.6%

2020(35%X12%) + (65%X12%)= 12%

a)(ii) Comments

- Overall gross profit margin is **declining**.
- Increase in **bulk buyer sales** (lower margins) is reducing overall profitability.
- Bulk buyer GP has fallen from **12% to 8%** due to intense price competition.
- Final buyers generate **higher and more stable margins**, but their revenue share is falling.
- DFS appears to be prioritising **volume over profitability**.

Answer to the Question# 2(b):

Memorandum:

To chairman

i) Competitive Pressure in the Two Customer Groups

Bulk Buyers

- Extremely **price-sensitive** and well-informed about DFS's costs.
- High buyer power, evidenced by:
    - Competitive tendering with multiple bidders.
    - Orders split among suppliers at the lowest price.
- Low margins (currently 8%) and strict specifications increase operational risk and waste.

Final Buyers

- Lower price sensitivity and **higher margins (15%)**.
- Value DFS's expertise in menu design and nutrition.
- Less standardized requirements and greater scope for differentiation.
- Growing trend toward **outsourcing canteen management** due to hygiene regulations.

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ii) Appropriate Generic Strategies

Bulk Buyer Segment

- **Cost leadership strategy**:
    - Focus on efficiency, standardized menus, long production runs.
    - Only accept contracts that cover variable costs and contribute to overheads.

Final Buyer Segment

- **Differentiation strategy**:
    - Emphasize quality, nutrition, menu variety, hygiene compliance, and advisory services.
    - Position DFS as a *canteen management partner*, not just a meal supplier.

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iii) Implications for Organisational Structure

- Current **centralised decision-making** by Baker and Dawod is undermining operational efficiency.
- Recommended changes:
    - Clear delegation of authority to GM and Sales Manager.

    - Separate management focus for:
        - Bulk production operations.
        - Final customer solutions and service development.
- Introduce **formal management development and succession planning**, especially given impending retirements.
- Retain key managers (e.g. Mr. Shamim) through:
    - Board representation or incentive-based progression.
    - Clear career paths.

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iv) Options for Production Capacity

Short-term

- Optimise current capacity (30,000 meals/week), avoiding inefficiencies and waste.
- Improve production planning and quality control to prevent rejections.

Medium-term

- Resume evaluation of **larger premises** to enable expansion beyond current constraints.
- Consider:
    - Modular expansion.
    - Leasing additional space rather than immediate purchase.

Strategic Risk

- A major competitor is building its own factory, which may lead to:
    - Greater economies of scale.
    - Increased competitive pressure.

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v) Key Issues and Recommendations

Key Issues

- Declining margins due to over-reliance on bulk buyers.
- Weak management structure and poor internal communication.
- Risk of losing experienced managers.
- Lack of strategic marketing and low response to promotion.
- Founder dominance restricting professional management.

Recommendations

1. Rebalance customer mix toward higher-margin final users and canteen management contracts.
2. Introduce clearer governance and decision-making processes.
3. Retain and empower senior managers.
4. Invest selectively in capacity expansion aligned with profitable growth.
5. Develop a formal long-term strategy ahead of founder retirements.

Conclusion
DFS has a strong reputation and market position but faces margin erosion, managerial risk, and strategic drift. Immediate action on governance, customer strategy, and management development is essential to ensure long-term sustainability.

Answer to the Question# 3

a) BCG Matrix Analysis of CMRT's Product Portfolio

Introduction
The BCG matrix analyses products/services based on **market growth rate** and **relative market share**, classifying them as **Stars, Cash Cows, Question Marks, or Dogs**.

BCG Classification of CMRT Services

1. Assurance / Corporate Governance Services – Star
- High market growth due to increased regulation and governance failures.
- CMRT has invested early and is experiencing strong growth.
- Requires continued investment in staff and expertise.
- Likely to become a future Cash Cow.

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2. Audit and Taxation Services – Dog
- Low growth and low margins.
- Loss of small audit clients due to higher audit threshold.
- High regulatory risk: auditor liability and tax penalties.
- Independence rules restrict cross-selling.
- May still be required for reputation, but profitability is weak.

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3. General Consultancy – Question Mark
- Market growth exists, but CMRT's revenue growth is modest.
- Competitive market dominated by larger firms.
- Requires differentiation and investment to gain market share.

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4. Tax-Efficient Supply Chain Planning – Question Mark / Potential Star
- High growth potential due to globalisation.
- CMRT is an early mover outside the Big Four.
- Success depends on client uptake and execution.
- Requires investment and cross-functional coordination.

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5. Corporate Finance & Pre-Listing Services – Cash Cow
- Currently CMRT's most profitable division.
- Strong market position and established client base.
- Pre-listing services may generate future growth.
- Generates cash to fund Stars and Question Marks.

Conclusion on Portfolio Balance
- CMRT has a **reasonably balanced portfolio**.
- Strong **Cash Cow** (Corporate Finance) funds growth.
- **Star** (Assurance) supports future profitability.
- **Question Marks** offer growth but carry risk.
- **Dogs** (Audit/Tax) should be tightly controlled or selectively downsized.

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b) Timber Trading Ltd (TTL)

b)(i) Forces For and Against Change

Forces For Change
- High costs and low productivity.

- Increasing competition from overseas suppliers.
- Currency volatility affecting import costs.
- Rising popularity of UPVC substitutes.
- Quality failures and unreliable delivery.
- Customer dissatisfaction.
- Need for integrated information systems.

Forces Against Change

- Strong union resistance to changes in wages and conditions.
- Complacent senior management with outdated attitudes.
- Poor organisational culture and lack of accountability.
- Silo mentality and weak communication between divisions.

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b)(ii) Managing the Change Process

1. Establish Urgency

- Communicate financial risks, customer losses, and competitive threats.

2. Strong Leadership

- CEO must visibly lead change and challenge complacency.

3. Employee Involvement

- Engage unions early; focus on productivity gains rather than wage cuts.
- Encourage cross-divisional teamwork.

4. Clear Vision and Strategy

- Emphasise benefits of integrated IT systems:
    - Cost reduction
    - Better quality control
    - Improved customer service

5. Training and Support

- Provide training for new systems and processes.
- Address fears about job security.

6. Cultural Change

- Introduce performance targets and accountability.
- Reward collaboration and knowledge sharing.

Conclusion

TTL faces strong internal resistance, but external pressures make change unavoidable. A **planned, participative change process**, supported by strong leadership and clear communication, is essential for successful turnaround

Answer to the Question# 4

a) Strategic Risks and Opportunities of a Dual Strategy

Opportunities

- **Risk diversification**: Reduces long-term dependence on finite fossil fuel reserves.
- **Regulatory alignment**: Early investment in renewables positions Shell to meet tightening environmental regulations.
- **Reputation and legitimacy**: Enhances corporate image and stakeholder trust.
- **Use of existing strengths**: Offshore engineering and large-scale project management capabilities transfer well to wind and marine energy.
- **Long-term growth**: Renewables represent a growing global energy market.

Risks

- **Strategic ambiguity**: Dual focus may dilute management attention and strategic clarity.
- **Capital intensity**: Heavy investment in renewables may reduce cash available for profitable fossil fuel operations.
- **Cannibalisation risk**: Renewables may undermine long-term demand for fossil fuels.

- **Technological uncertainty**: Renewable technologies may evolve faster than expected, increasing investment risk.
- **Cultural resistance**: Employees and managers may resist moving away from traditional oil and gas identity.

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b) Resource and Capability Requirements for Renewables

Tangible Resources

- Capital investment in wind and marine infrastructure.
- Access to coastal sites and offshore concessions.
- Advanced grid connection and energy storage facilities.

Intangible Resources

- Technical know-how in renewable energy systems.
- Strong relationships with regulators and governments.
- Brand credibility as a responsible energy provider.

Capabilities

- **Technology integration**: Ability to combine renewable generation with existing energy networks.
- **Innovation capability**: R&D in efficiency, storage, and grid management.
- **Change management**: Retraining workforce and reshaping organisational culture.
- **Partnership management**: Joint ventures with technology firms and governments.

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c) Influence of Board Values and Strategic Vision

- Board's recognition of **environmental responsibility** drives exclusion of nuclear power despite potential economic benefits.
- Long-term vision prioritises **sustainability over short-term profit maximisation**.
- Values shape risk appetite, encouraging diversification rather than fossil fuel lock-in.
- Strategic vision provides legitimacy for major capital reallocation and cultural change.
- Clear values reduce strategic drift and help align stakeholders around long-term goals.

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d) Capital Investment Allocation Recommendation

Recommended Allocation (Next 10 Years)

- **Short term (Years 1–3):**
  - 65–70% fossil fuels
  - 30–35% renewables
- **Medium term (Years 4–7):**
  - 50% fossil fuels
  - 50% renewables
- **Long term (Years 8–10):**
  - 30–40% fossil fuels
  - 60–70% renewables

Justification

- Fossil fuels generate **cash flows** needed to fund renewable investments.
- Gradual rebalancing avoids financial shocks and protects shareholder value.
- Increasing renewable share ensures **strategic fit** with regulatory trends and environmental expectations.
- Supports long-term sustainability and relevance in a decarbonising energy market.
- Aligns with Shell's capabilities and board values.

Conclusion

A dual strategy enables Shell to balance short-term profitability with long-term sustainability. Success depends on disciplined capital allocation, capability development, and alignment between board values

and operational strategy. Over the next decade, Shell should progressively transition from fossil fuel dependence toward a renewable-dominated energy portfolio.

Answer to 5

a)(i) Task Environment and General Environment

Task Environment (Industry-Specific Factors)

Competitors

- Strong competition from **India and Sri Lanka**, especially in Orthodox tea.
- Indian lobbying against Bangladeshi non-organic Orthodox tea is a **direct competitive threat**.

Customers

- Growing international demand for **organic and premium teas**, especially in China, Europe, and the USA.
- Domestic market absorbs about 50% of production, providing stability.

Suppliers

- Dependence on fertilisers, labour, and plantation inputs.
- Fertiliser shortages and labour strikes increase production risk.

Regulators / Government

- Bangladesh Tea Board influences production and export standards.
- Possible future regulation on mandatory organic production creates uncertainty.

General Environment (PESTEL Factors)

Political / Legal

- Export restrictions due to contamination issues.
- Trade barriers influenced by Indian lobbying.
- Limited government support for modernisation.

Economic

- High cost of capital.
- Premium pricing opportunity for organic tea (>$100/kg).
- Foreign exchange earnings from exports.

Social

- Rising global health consciousness.
- Ethical consumption and sustainability expectations in Western markets.

Technological

- Limited use of modern farming and processing technology.
- Opportunity to improve productivity and quality through mechanisation.

Environmental

- Climate change affecting yields.

- Pressure to adopt eco-friendly and sustainable practices.

Global

- Growing global tea trade and niche demand for organic Orthodox tea.

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a)(ii) Strategies to Remain Competitive under Globalisation

- **Product differentiation**: Focus on organic and premium Orthodox teas.
- **Market diversification**: Reduce reliance on Europe/USA; expand into China and other Asian markets.
- **Brand building**: Promote "Bangladesh origin" tea through aggressive international marketing.
- **Strategic alliances**: Partner with foreign buyers and distributors.
- **Gradual organic conversion**: Phased adoption rather than mandatory immediate conversion.
- **Technology adoption**: Improve productivity and quality control.
- **Sustainability strategy**: Emphasise eco-friendly production to meet global expectations.

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5 (b) Tea House BD Expansion Strategy

Professional Report

i) Evaluation of Expansion Options

Option 1: Organic Growth

Advantages

- Full control over brand, quality, and customer experience.
- Easier protection of premium positioning.
- Direct capture of all profits.

Disadvantages

- High capital investment required.
- Slower expansion speed.
- Increased managerial complexity and operational risk.
- Limited ability to exploit rapid market opportunities.

Option 2: Franchising Model

Advantages

- Faster national expansion.
- Lower capital requirement for founders.
- Local franchisees bring market knowledge.
- Franchise fees and royalties provide steady income.

Disadvantages

- Risk of inconsistent service quality.

- Potential dilution of premium brand image.
- Requires strong monitoring and franchise management systems.

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ii) Recommendation

Recommended Strategy: Hybrid Approach

Tea House BD should adopt a **combination of organic growth and franchising**.

Justification

- **Organic growth** in major premium urban markets (e.g. Sylhet, Cox's Bazar) to protect brand image.
- **Franchising** in secondary cities (Rajshahi, Khulna) to achieve rapid coverage with lower risk.
- Allows controlled growth while leveraging external capital.
- Balances brand control with scalability.
- Suitable for long-term, sustainable expansion across Bangladesh.

Conclusion

- Bangladeshi tea producers must pursue **differentiation, sustainability, and global market alignment** to exploit organic tea opportunities.
- Tea House BD should follow a **hybrid expansion strategy** to grow rapidly while maintaining its premium positioning and operational control.

Answer to the Question# 6

a) Main Ethical Problems

- **Breach of company policy**: Company IT equipment was used for personal purposes and possibly for accessing explicit material.
- **Responsibility and accountability**: Uncertainty whether Safwan personally accessed the sites or allowed misuse by a third party.
- **Conflict between rules and compassion**: Tension between enforcing policy consistently and considering Safwan's value to the company and the timing of the product launch.

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b) Possible Courses of Action

- **Formal disciplinary action** in line with company policy (up to dismissal).
- **Informal warning** or lesser disciplinary action, with retraining on IT policy.
- **Ignore the incident** and take no further action.

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c) Assessment Using Moral Considerations

Duties

- You have a duty to enforce company rules fairly and consistently.
- Ignoring the breach undermines managerial responsibility and policy credibility.

Consequences

- Dismissal may harm the company due to loss of expertise before a major launch.
- Ignoring the issue could damage morale and encourage future misconduct.
- A warning balances discipline with organisational benefit.

Rights

- Safwan has the right to fair treatment and due process.

- The company has the right to protect its systems and reputation.

Justice / Fairness

- Other employees would expect consistent application of the rules.
- Failure to act may be unfair to staff who comply with the policy.

Professional Integrity

- Allowing third-party use of company equipment is a serious lapse, regardless of intent.

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d) What Would You Do, and Why?

- Take **formal but proportionate disciplinary action** (e.g. written warning).
- Reason: Upholds the code of conduct, ensures fairness, deters future breaches, and avoids unnecessary loss of a key employee at a critical time.

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e) Benefits and Limitations of the Code of Conduct

Benefits

- Provides clear standards of acceptable behaviour.
- Supports consistent and defensible management decisions.

Limitations

- May lack flexibility for exceptional circumstances.
- Does not always account for intent or contextual factors.

Conclusion:
The case highlights the importance of balancing strict rule enforcement with fairness, proportionality, and organisational needs.

---The End---